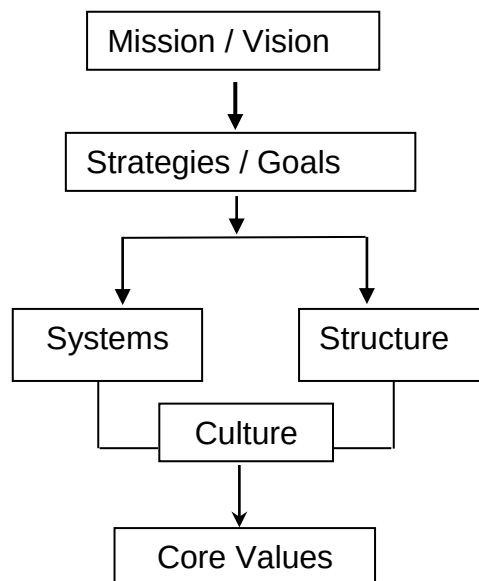


Chapter – 2

Vision, Culture and Core Values

2.1 Introduction

In an organization Mission/Vision leads to strategies. The long-term strategy leads to systems and structures. The right system and structure is driven by culture. For work culture to be conducive each member in the organization should have similar values and exhibit norms of behaviour in line with culture and values.



SAIL Vision

To be a respected world-class Corporation and the leader in Indian steel business in quality, productivity, profitability and

Vision depicts the aspirations of an organization and gives substance to its existence. It defines boundaries for action and sets strategic direction for the organization. It can be compared to a beacon, functioning like a lighthouse for a ship.

It is a distant goal that is always a challenge as the marketplace place throws up new and tougher challenges in the form of better technology, products and increased competition. The vision is never static and continuous focus on this long term aspect should be the focus of any organization that desires to excel.

The Customer is seen to provide context for all our endeavors. The vision of SAIL has been evolved with this reality in mind. SAIL Vision was articulated in the Directors' Workshop at Jodhpur. The SAIL Vision takes into account the realities of the environment and the core concern of the organization.

Vision 2030: Long term strategic plan to steer the company towards a target of 50 million tonnes of hot metal production, thereby meeting the strategic objectives of maintaining leadership position in Indian steel sector and a position amongst the top steel companies globally.

2.2 Credo

- We build lasting relationships with customers based on trust and mutual benefit.
- We uphold highest ethical standards in conduct of our business.
- We create and nurture a culture that supports flexibility, learning and is proactive to change.
- We chart a challenging career for employees with opportunities for advancement and rewards.
- We value the opportunity and responsibility to make a meaningful difference in people's lives

2.3 Culture

In the most general sense, “Culture” could mean a ‘way of life’. Organization culture refers to the traditions, attitudes, beliefs and practices followed in an organization by the constituent members as an acquired habit. However, culture by itself cannot be observed. It can only be reflected in the observed behaviour of the employees : behaviour towards co-workers, towards customers, towards outsiders and most importantly towards ones’ job.

For an organization to have a distinct culture, it is necessary that members of the organization behave in a given way in response to various stimuli every time. Culture of an organization is a consistent behaviour pattern that the employees imbibe as a part of their routine and which is consistent with a majority of the people at all times. Organization culture develops over a period of time and does not change overnight. It is a reflection of the observed attitude, values, norms, beliefs and responses by influential levels of the organization.

SAIL is committed to inculcate and sustain a culture of creativity, involvement and innovativeness among employees to tap their creative potential. SAIL is also committed to building lasting relationships not only with employees but with all stakeholders for maximizing mutual benefit for sustained business while upholding the highest ethical standards. SAIL is committed to making a meaningful difference in the peoples’ lives.

One should remember that in the final reckoning, it is the customer and not the employee alone who will measure customer satisfaction. It is important to undertake periodic reviews of the prevailing culture to ensure congruence between the existing culture and the requirements of the business environment. It may, therefore, be necessary to define and then cultivate a desired culture.

2.4 Core Values

Consistent with Company's vision, goals and strategies, SAIL adopted the following four Core Values in 1995:

1. Customer Satisfaction
2. Concern for People
3. Consistent Profitability
4. Commitment to excellence

The meaning, rational and thrust of each of these Core Values is presented here.

Customer Satisfaction: Customer comes first every time.

Customer satisfaction is the first priority of every employee and the purpose of every job. We do not compromise this value because we believe that this alone can enable us to achieve the vision of attaining market leadership.

Concern for People: Talent of our people is our greatest asset.

We believe that developing competence and commitment of our people for enhancing their contribution, is important for achieving customer satisfaction, and thereby the prosperity of the company and of the employees.

Consistent Profitability: Consistent profitability is essential for growth.

We believe that consistent and significant profitability must be essential outcome of all our activities. This is necessary for modernization, growth and market leadership.

Commitment to Excellence: SAIL does it better.

We are committed to harnessing the full potential of all our resources, through creativity, continuous improvements and teamwork. We *believe* that this is important for making SAIL the best organization so that our customers, employees and shareholders have a sense of pride.

Norms of Behaviour

The behaviour of everyone should reflect priority to the Core Value of customer satisfaction in relation to all other Core Values. Since our vision is to achieve market leadership through customer satisfaction, it is critical to establish and nourish all those behaviour, which we directly or indirectly contribute towards enhancing level of satisfaction of our customers on a continuing basis.

Some examples of core values are given below:

- (a) Customer Satisfaction
 - (i) Order booking should be communicated to Production Planning and Control (PPC) on the same day by the marketing branches.
 - (ii) The PPC should start with quality and delivery commitment to customer.
- (b) Concern for People
 - (i) Concern for safety and health of our employees and quality of their work-life should always guide all our decisions and actions.
 - (ii) Every manager must communicate core-values both by words and actions behavioral deviations reflecting non-adherence to Core Values must be discouraged.
- (c) Consistent Profitability

- (i) We must continuously innovate methods to reduce costs in order to attain higher profitability.
 - (ii) We must use all resources optimally and avoid the tendency of asking and giving more resources.
- (d) Commitment to Excellence
 - (i) Rated capacity should be considered the minimum benchmark rather than the maximum limit.

Besides measuring performance against past performance level and the target, Performance should also be evaluated against the potential to ensure 100 % achievement of potential in due courses.
